building blocks into atoms. Most of the traditional functions of families and communities were handed over to states and markets.

The Collapse of the Family and the Community

Prior to the Industrial Revolution, the daily life of most humans ran its course within three ancient frames: the nuclear family, the extended family and the local intimate community.* Most people worked in the family business – the family farm or the family workshop, for example – or they worked in their neighbours' family businesses. The family was also the welfare system, the health system, the education system, the construction industry, the trade union, the pension fund, the insurance company, the radio, the television, the newspapers, the bank and even the police.

When a person fell sick, the family took care of her. When a person grew old, the family supported her, and her children were her pension fund. When a person died, the family took care of the orphans. If a person wanted to build a hut, the family lent a hand. If a person wanted to open a business, the family raised the necessary money. If a person wanted to marry, the family chose, or at least vetted, the prospective spouse. If conflict arose with a neighbour, the family muscled in. But if a person's illness was too grave for the family to manage, or a new business demanded too large an investment, or the neighbourhood quarrel escalated to the point of violence, the local community came to the rescue.

The community offered help on the basis of local traditions and an economy of favours, which often differed greatly from the supply-and-demand laws of the free market. In an old-fashioned medieval community, when my neighbour was in need, I helped build his hut and guard his sheep, without expecting any payment in return. When I was in need, my neighbour returned the favour. At the same time, the local potentate might have drafted all of us villagers to construct his castle without paying us a penny. In exchange, we counted on him to defend us against brigands and barbarians. Village life involved many transactions but few payments. There were some markets, of course, but their roles were limited. You could buy rare spices, cloth and tools, and hire the services of lawyers and doctors. Yet less than 10 per cent of commonly used products and services were bought